

2-7b Private Ownership Versus State Ownership

Private ownership is good. State ownership is bad. Although crude, these two statements fairly accurately summarize the intellectual and political reasoning behind three decades of privatization around the world between 1980 and 2008. [Table 2.6](#) outlines the key differences between private ownership and state ownership. As providers of capital, private owners are otherwise known as capitalists, and their central role in the economic system gives birth to the term “capitalism.” State ownership emphasizes the social and public nature of economic ownership, and leads to the coinage of the term “socialism.” Obviously, both forms of ownership have their own pros and cons. The debate is about which form of ownership is better—whether the pros outweigh the cons.

Table 2.6

Private Ownership versus State Ownership

	Private ownership	State ownership
Objective of the firm	Maximize profits for private owners who are capitalists (and maximize shareholder value for public shareholders if the firm is publicly listed).	Optimal balance for a “fair” deal for all stakeholders. Maximizing profits is not the sole objective of the firm. Protecting jobs and minimizing social unrest are legitimate goals.
Establishment of the firm	Entry is determined by entrepreneurs, owners, and investors.	Entry is determined by government officials and bureaucrats.
Financing of the firm	Financing is from private sources (and public shareholders if the firm is publicly traded).	Financing is from state sources (such as direct subsidiaries or banks owned or controlled by governments).

	Private ownership	State ownership
Liquidation of the firm	Exit is forced by competition. A firm has to declare bankruptcy or be acquired if it becomes financially insolvent.	Exit is determined by government officials and bureaucrats. Firms deemed “too big to fail” may be supported by taxpayer dollars indefinitely.
Appointment and dismissal of management	Management appointments are made by owners and investors, largely based on merit.	Management appointments are made by government officials and bureaucrats who may also use non-economic criteria.
Compensation of management	Managers’ compensation is determined by competitive market forces. Managers tend to be paid more under private ownership.	Managers’ compensation is determined politically with some consideration given to a sense of fairness and legitimacy in the eyes of the public. Managers tend to be paid less under state ownership.
Sources: Extracted from text in (1) M. W. Peng, 2000, <i>Business Strategies in Transition Economies</i> (p. 19), Thousand Oaks, CA: Sage; (2) M. W. Peng, G. Bruton, & C. Stan, 2014, <i>Theories of the (state-owned) firm</i> , Working paper, Jindal School of Management, University of Texas at Dallas.		

The debate on private versus state ownership has underpinned much of the global economic evolution since the early 20th century. The Great Depression (1929–1933) was seen as a failure of capitalism and led numerous elites in developing countries and a nontrivial number of scholars in developed economies to favor the Soviet-style socialism centered on state ownership. As a result, the postwar decades saw a rise of state ownership. State ownership was not only extensive throughout the former Eastern bloc (the former Soviet Union, Central and Eastern Europe, China, and Vietnam), but was also widely embraced throughout developed economies in Western Europe. By the early 1980s, close to half of the GDP in major Western European countries, such as Britain, France, and Italy, was contributed by SOEs.

Experience throughout the former Eastern bloc and Western Europe indicated that SOEs typically suffer from a lack of accountability and a lack of economic efficiency. SOEs were known to feature relatively equal pay between the managers and the rank and file. Since extra work did not translate into extra pay, employees had little incentive to improve the quality and efficiency of their work. Given the generally low pay and the nondemanding work environment, formerly Soviet SOE employees summed it up well: “They pretend to pay us, and we pretend to work.”

Would the income of these automobile manufacturing workers in China increase if their state-owned employer were privatized?

AP Images/Elizabeth Dalziel

Britain’s former prime minister Margaret Thatcher privatized a majority of British SOEs in the 1980s. SOEs throughout Central and Eastern Europe soon followed suit. After the former Soviet Union collapsed, the new Russian government unleashed some of the most aggressive privatization schemes in the 1990s. Eventually, the privatization movement became global. In no small part, such a global movement was championed by the

Washington Consensus (A view centered on the unquestioned belief in the superiority of private ownership over state ownership in economic policy making, which is often spearheaded by the U.S. government and two Washington-based international organizations: the International Monetary Fund and the World Bank.)

, spearheaded by the US government and two Washington-based international organizations: the International Monetary Fund (IMF) and the World Bank. One core value of the Washington Consensus is the unquestioned belief in the superiority of private ownership over state ownership. The widespread privatization movement suggested that the Washington Consensus clearly won the day—or it seemed.

But in 2008, the pendulum suddenly swung back. During the Great Recession (2008–2009), many governments in developed economies bailed out numerous failing private firms using public funds, effectively turning them into SOEs. As a result, the arguments in favor of private ownership and “free market” capitalism collapsed. Since SOEs had such a dreadful reputation (essentially a “dirty word”), the US government has refused to acknowledge that it has SOEs. Instead, it admits that the United States has “government-sponsored

enterprises” (GSEs), such as General Motors (nicknamed “Government Motors”) and Citigroup (nicknamed “Citigovernment”).

Conceptually, what are the differences between SOEs and GSEs? Hardly any! The right column in [Table 2.6](#) is based on my own research on the “classical” SOEs in pre-reform China and Russia published more than a decade ago. This column also accurately summarizes what is happening in developed economies featuring GSEs now. For example, protecting jobs is one of the stated goals behind bailouts. Entry and exit are determined by government officials, and some firms that have been clearly run into the ground, such as AIG and GM, are deemed “too big to fail” and are bailed out with taxpayer dollars. The US government has forced the exit of GM’s former chairman and CEO, and is now directly involved in the appointment of executives at GM and other GSEs. Not surprisingly, the US government is now drafting rules to regulate executive compensation.

One crucial concern is that despite noble goals to rescue the economy, protect jobs, and fight recession, government bailouts may encourage

[**moral hazard** \(Recklessness when people and organizations \(including firms and governments\) do not have to face the full consequences of their actions.\)](#)

—recklessness when people and organizations (including firms and governments) do not have to face the full consequences of their actions. In other words, capitalism without the risk of failure becomes socialism. It is long known that managers in SOEs face a “soft budget constraint,” in that they can always dip into state coffers to cover their losses. When managers in private firms who make risky decisions to “bet the farm” find out when these decisions turn sour, but their firms do not go under—thanks to generous bailouts—they are likely to embrace more risk in the future. In other words, bailouts foster the kind of thinking among managers regarding state coffers and taxpayer dollars: “Heads I win, tails you lose.” Per Proposition 1 ([Table 2.3](#)), these managers are being perfectly rational: Taking on risks, if successful, will enrich their private firms, their owners (shareholders), and themselves; if unsuccessful, the government will come to the rescue.

Far from being swept to the dustbin of history, SOEs as an organizational form have shown some amazing longevity. Today, SOEs represent approximately 10% of the global GDP. Even in developed (OECD member) countries, they command 5% of the GDP. From the ashes of the Washington Consensus emerged a

[**Beijing Consensus** \(A view that questions Washington Consensus’ belief in the superiority of private ownership over state ownership in economic policy making, which is often associated with the position held by the Chinese government.\)](#)

, which centers on state ownership and government intervention. Anchored by SOEs, China over the past 30 years has grown its GDP by 9.5% per year and its international trade volume by 18% per year. SOEs represent 80% of China’s stock market capitalization. But China is not alone. In Russia, the figure is 62%, in Brazil 38%, and in Norway 38%. Overall, SOEs not only occupy four spots among the top ten largest firms worldwide (measured by sales), but also represent six of the top ten most *profitable* firms globally (measured by amount of profits) (see [Table 2.7](#)). While some SOEs have become large and profitable, the majority of them have continued to be inefficient. Despite the hoopla about the alleged “muscle” of Chinese SOEs, as a group their return on assets (ROA) since 2008

has been barely 3%. In summary, some SOEs do well, most muddle through, but they are unlikely to disappear any time soon.

Table 2.7

How Many of the Top Ten Largest and Top Ten Most Profitable Firms in the World are SOEs?

Top ten largest firms measured by sales	Top ten firms with the largest profits
1 Wal-Mart Stores (USA)	1 Vodafone Group (UK)
2 Royal Dutch Shell (Netherlands)	2 Fannie Mae (USA)—SOE
3 SINOPEC Group (China)— SOE	3 Freddie Mac (USA)—SOE
4 China National Petroleum Corporation (China)—SOE	4 Industrial & Commercial Bank of China (China)—SOE
5 ExxonMobil (USA)	5 Apple (USA)
6 BP (UK)	6 Gazprom (Russia)—SOE
7 State Grid (China)—SOE	7 China Construction Bank (China)—SOE
8 Volkswagen (Germany)—SOE	8 ExxonMobil (USA)
9 Toyota Motor (Japan)	9 Samsung Electronics (South Korea)
10 Glencore (Switzerland)	10 Agricultural Bank of China (China)—SOE

Source: Adapted from *Fortune*, 2014, Global 500, July 21: F-1 and F-13.

Printed By: Mike Benton (mbento6@wgu.edu)
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